

Kestrel Beverages — Empty On The Map

Decision Memo

To: Anita Deshmukh, Commercial Director

Subject: Identifying genuine whitespace markets for expansion

Executive Recommendation

A pale district on the sales map does not automatically mean untapped demand. Low Kestrel sales can happen because of weak demand, weak distribution, or insufficient panel coverage.

Our approach therefore does not use Kestrel sales alone to decide where to invest. We first check whether the panel provides enough reliable evidence, then evaluate independent demand, distribution whitespace and competitive intensity.

I recommend prioritising a district only when all three required conditions are met:

$WCI \geq 0.70$

Distribution Gap ≥ 0.40

Panel Coverage $\geq 60\%$

This identifies **25 recommended target districts**. The five highest-ranked opportunities are Dharwad, Paschim Bardhaman, Warangal, Ujjain and Vizag.

Key Finding: Panel Coverage Must Come First

The retail panel covers 340 districts over 24 months, giving 8,160 district-month observations.

However, 6,314 observations (77.4%) have panel coverage below 60%. At the district level, 257 of 340 districts have average panel coverage below 60%.

These districts are classified as **UNKNOWN**, not as zero-demand markets. This is important because a gap in the panel can look exactly like a gap in the market.

How We Separate the Problems

- 1. Is there demand?** We use evidence independent of Kestrel's own sales: category velocity, content/social engagement and event registrations.
- 2. Can consumers buy Kestrel?** We measure the distribution gap between category availability and Kestrel availability.
- 3. Can we trust the evidence?** We check panel coverage before making the decision. Districts below 60% coverage remain UNKNOWN.

Weak demand → marketing opportunity is limited

Weak distribution → distribution expansion is required

Insufficient evidence → do not reject; improve the data first

Whitespace Confidence Index

The assessment-defined measure is:

$$WCI = 0.45 \times \text{Demand Signal} + 0.35 \times \text{Distribution Gap} + 0.20 \times (1 - \text{Competitive Intensity})$$

Demand Signal = independent evidence of category demand

Distribution Gap = $1 - (\text{Kestrel-stocked outlets} \div \text{category-stocked outlets})$

Competitive Intensity = category volume share held by the top two rivals

A district is recommended only if all three gates are satisfied: $WCI \geq 0.70$, Distribution Gap ≥ 0.40 and Panel Coverage $\geq 60\%$.

Decision Principle

Do not spend marketing money simply because a district is pale. First establish whether consumers want the category and whether Kestrel is available to them.

Top Five Expansion Opportunities

The WCI screening identifies 25 districts that meet all required target conditions. The five highest-ranked districts are the strongest candidates for immediate commercial validation.

Rank	District	State	WCI	Distribution Gap	Annual Revenue Baseline
1	Dharwad	Karnataka	0.876	0.932	■9.69M
2	Paschim Bardhaman	West Bengal	0.873	0.925	■14.84M
3	Warangal	Telangana	0.872	0.928	■3.15M
4	Ujjain	Madhya Pradesh	0.865	0.933	■9.73M
5	Vizag	Andhra Pradesh	0.862	0.930	■14.71M

The combined annualised Kestrel revenue baseline for these five districts is approximately **■52.11M**. This is a commercial sizing baseline, not guaranteed incremental revenue.

What Each Market Needs

All five priority districts show a combination of strong independent category demand and significant distribution whitespace. Therefore, the recommended intervention is **both distribution and marketing**.

Distribution: Prioritise outlets where the category is already sold but Kestrel is not stocked. Expanding availability should come before or alongside demand generation.

Marketing: Once availability is established, targeted local marketing can convert existing category demand into Kestrel demand.

This avoids repeating the problem highlighted by the Commercial Director: generating demand in an area where consumers cannot easily buy Kestrel.

Pale Districts Explicitly Rejected

The analysis explicitly rejects **7 reliable pale districts** where the available evidence does not support a strong whitespace opportunity. The pale-district cutoff is the bottom 25% of annual Kestrel revenue among reliable districts (**■9.73M**).

These districts are rejected using observed analytical evidence, such as weak independent demand or insufficient whitespace. They are not rejected using hidden ground-truth labels.

District ID	District Name	State	WCI	Demand	Dist. Gap	Coverage
DST_0321	Panna	Madhya Pradesh	0.331	0.182	0.144	61.0%
DST_0061	Yadgir	Karnataka	0.241	0.018	0.104	64.8%
DST_0174	Dahod	Gujarat	0.267	0.034	0.155	60.4%
DST_0203	Birbhum	West Bengal	0.245	0.015	0.117	60.3%
DST_0129	Budaun	Uttar Pradesh	0.237	0.020	0.088	62.3%
DST_0164	Porbandar	Gujarat	0.423	0.273	0.426	62.2%
DST_0183	Devbhumi Dwarka	Gujarat	0.593	0.648	0.427	64.9%

Rejected = reliable evidence indicates the opportunity is weak.

UNKNOWN = there is not enough reliable panel evidence to make the decision.

Therefore, the 257 low-coverage districts remain UNKNOWN and are not counted as rejected markets.

Commercial Recommendation

The immediate priority should be to validate and expand distribution in the five leading districts, supported by targeted marketing.

At the same time, Kestrel should improve panel evidence in UNKNOWN districts before committing or rejecting investment.

The key decision is not: **“Which districts have the lowest sales?”**

It is: **“Where is there reliable evidence of demand, Kestrel has room to improve distribution, and the market is attractive enough to justify investment?”**

Bottom Line

Move from a sales map to an evidence-based expansion decision.

The strongest immediate opportunities are Dharwad, Paschim Bardhaman, Warangal, Ujjain and Vizag. Their WCI scores indicate strong whitespace potential, while the coverage gate protects the decision from confusing missing panel evidence with missing market demand.

Recommended action: Distribution + Marketing in the top five; improve evidence in UNKNOWN districts; reject only pale districts supported by reliable negative evidence.

Method note: The analysis uses observed analytical data and does not use hidden ground-truth district-type labels.